

Let's look at the evidence from AMFI (Association of Mutual Funds in India):
Percentage of Mutual Fund Schemes Outperforming Their Benchmark:

Duration	Large-Cap	Flexi-Cap	Mid-Cap	Small-Cap
3 years	19%	20%	13%	52%
5 years	12%	33%	41%	92%
10 years	35%	67%	39%	100%

(Source: AMFI Website, the data is as of 31st March 2023)

As you see, in the 5-year data, only 12% of active large-cap schemes outperform their benchmarks over a period of 5 years, meaning only 1 out of 10 schemes deliver better returns. While flexi-cap and mid-cap funds are far better.



So in conclusion, the choice boils down to your priorities. If you prioritize simplicity passive funds offer a more straightforward approach. But if you're comfortable with taking on some additional risk and putting in extra effort, active funds might offer higher potential returns.

